



Decision Intelligence Platform

INVESTOR EVALUATION REPORT — NO-BULLSHIT EDITION

Prepared by: Independent VC Analysis Desk | March 2026 | CONFIDENTIAL

VERDICT
PIVOT

CONFIDENCE
62%

STAGE
PRE-SEED

"The next trillion-dollar opportunity in geospatial intelligence is not better maps. It is better decisions." — Nerolith Founding Thesis

This document provides a frank, unfiltered assessment of Nerolith's strategic vision document (v1.0, March 2026) as submitted. It is written from the perspective of a Sequoia/YC-calibre investment committee. No points are awarded for ambition alone.

Company	Nerolith	Document	Strategic Vision v1.0
Category	Geospatial Simulation / Decision Support	Stage	Pre-Seed / MVP
Base Product	GeoSim GIS (C++/Qt6)	Target ARR	\$100M
Overall Rating	62% KILL/PIVOT/GO PIVOT		

What exactly is this startup solving?

Nerolith attempts to bridge the gap between raw geospatial data and actionable decision-making — specifically by adding physics-based and ML-accelerated simulation on top of existing GIS infrastructure. The base product (FloodSim GIS) models flood depth and risk from Digital Elevation Models and rainfall parameters, outputting 2D/3D visualisations and LLM-generated alerts.

Is this a real problem?

Yes — and that is the one genuinely strong card in the deck. The gap between 'visualise what exists' (ESRI/QGIS) and 'simulate what will happen' is real, documented, and growing. Post-2022 EU Taxonomy and US SEC climate disclosure rules are creating compliance-driven demand. Insurers need per-parcel risk scores. Municipal planners are legislatively required to model climate resilience. The problem is not manufactured.

Who actually pays for this?

The paying customers are a narrow, high-friction set: national hydrological services, civil protection agencies, large municipalities, and P&C; insurers. These are 6-18 month procurement cycles with committee approvals, vendor qualification requirements, and incumbent relationships. A desktop C++ app on the Microsoft Store does not enter those procurement pipelines.

Verdict: Real problem, wrong first customer profile. The document conflates the researcher/consultant market (reachable fast) with the government procurement market (slow and very hard to crack early).

Is the market big enough?

The \$50.3B TAM figure (2030) is real but padded. Nerolith lumps GIS Software (\$22.3B), Climate Risk Analytics (\$12.3B), Smart City Software (\$6.1B), Disaster Management IT (\$5.4B), and Insurance Climate Tech (\$4.2B) together. The actual Serviceable Addressable Market for simulation-native, AI-decision software is a fraction of this. Realistic SAM in Year 1-4: \$500M-\$2B. Still worth pursuing — but don't wave \$50B at investors expecting credulity.

Dominant players today

Player	Strength	Weakness	Threat to f
ESRI / ArcGIS	\$2B+ ARR, 7M users, 90% gov	Simulation is bolt-on, not native	HIGH — distribution, not produc
HEC-RAS (USACE)	Gold standard for hydraulic modeling	Filing complex, no AI	HIGH — entrenched in gov spec
MIKE FLOOD (DHI)	Professional flood modelling pedigree	\$50k+ licences	MEDIUM — price creates openin
Jupiter Intelligence	VC-backed climate risk analytics	No physics simulation	MEDIUM — adjacent, convergin
One Concern / Sust	Alternative climate risk	No GIS platform depth	LOW currently, HIGH if funded<

Why would users switch?

Existing HEC-RAS users are not switching — they have calibrated models, validated outputs used in legal/regulatory documents, and zero incentive to retrain. The real switching opportunity is with the next generation of analysts who haven't yet been locked into legacy tools, and with organisations currently doing nothing (no simulation at all). That is a real wedge but requires sharp marketing focus the document lacks.

Revenue model: realistic or vague?

The four-stage model (Niche → Expansion → Platform → Enterprise) is textbook SaaS playbook. Well-structured on paper. The specifics are where it weakens.

Metric	Y2 (Claimed)	Y4 (Claimed)	Reality Check
ARR	\$1.4M	\$9M	Y2 is achievable; Y4 needs 80 gov accounts — har
Avg Contract Value	\$840	\$75K	Jump is 89×. Requires enterprise sales motion not yet built.
Gross Margin	65%	72%	Reasonable for SaaS at scale
CAC	\$800	\$12K	Gov CAC is realistically \$30K-\$80K with 12-18mo cycles
LTV/CAC	3×	18×	18× is aspirational; 5-8× is realistic in gov
Customer Count	2,000	120	Inverse scaling is acknowledged — structurally sound logic

Where does the model break?

- The \$49/month 'Professional' tier for a flood simulation tool targeting disaster management professionals is absurdly low. Either the product is not professional-grade, or the pricing signals it isn't.
- The 2,000 paying users by Y2 target assumes consumer-style conversion rates from a Microsoft Store app. Government agencies do not subscribe via app stores.
- Insurance Data API at \$0.05/call requires enormous volume to matter. This is a feature, not a revenue line at this stage.
- Platform marketplace at 30% rev share only works after you have developer density. Chicken-and-egg problem completely unaddressed in the document.
- Pre-seed at \$300K for a team of 3 building a multi-disaster cloud platform is wildly undercapitalised. The Seed round timing (Month 8) assumes 50 paying customers + 3 government pilots in 8 months. That timeline is fiction.

Ideal Customer Profile (actual vs. claimed)

Claimed ICP	Actual Reachable ICP (Y1-2)
National disaster management agencies	Academic hydrology researchers and NGO GIS teams
Municipal governments	Environmental consultancies needing deliverables for clients
P&C insurers	Civil engineering firms doing flood risk assessments
Infrastructure operators	Government GIS analysts with discretionary tool budgets

Must-have or nice-to-have?

For the claimed ICP (national agencies, insurers), it is a must-have. For the actual reachable ICP (researchers, consultants), it is a strong nice-to-have that competes with free tools like QGIS + InaSAFE. This is not fatal — many B2B companies start with the 'nice-to-have' tier and migrate up market. But the document presents it as if the must-have tier is immediately addressable. It is not.

How painful is the problem?

For a hydrologist or civil protection officer who currently spends 3-4 hours manually processing DEM data in QGIS before producing a flood risk map, Nerolith's claim of 'minutes instead of hours' is genuinely compelling. The pain is real and quantifiable. The challenge is finding those individuals at volume, inside organisations with purchasing authority.

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COMPETITION ANALYSIS

The document underestimates one competitor critically: ESRI.

The 'we make ESRI more powerful, not compete with them' positioning is strategically clever and may be genuinely correct at Phase 1. But ESRI has \$2B in revenue, a dedicated R&D budget exceeding Nerolith's entire 10-year projection, and has already begun acquiring simulation capabilities (ArcGIS Pro's integration with HEC-RAS and the ArcGIS Velocity real-time analytics suite). If Nerolith proves the market, ESRI can replicate a reasonable facsimile within 18 months.

Direct competitors the document dismisses too quickly:

- DHI MIKE FLOOD — Yes, it's expensive. But 'expensive' is a feature in government procurement, not a bug. Expensive = validated = insurable. Cheaper alternatives have failed to dislodge MIKE in 20 years.
- Deltares (open-source Delft3D, D-FLOW) — Not mentioned in the document. These are serious, peer-reviewed, globally deployed flood simulation tools used by exactly the national agencies Nerolith is targeting. For free.
- Copernicus Emergency Management Service — The EU already funds free, professional-grade emergency mapping. Any EU government budget holder will ask why they're paying Nerolith when Copernicus exists.
- Climate AI startups (Jupiter Intelligence, Sust Global, Cervest) — Well-funded, enterprise-sales-capable, already in the insurance procurement pipeline. Nerolith's 'physics-based = more trustworthy' differentiation is valid but requires third-party validation to be procurement-credible.

What moat actually exists today?

Genuinely: the integrated pipeline (DEM → ML simulation → 3D render → LLM alert) in a single desktop application is novel and technically impressive. That is a 12-18 month head start, not a durable moat. The moats the document describes (simulation data network, plugin ecosystem, regulatory recognition) are all valid — but they are 5+ year constructs. Between now and then, the company is running on execution speed alone.

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EXECUTION RISKS

Technical Complexity

HIGH

The document proposes migrating a monolithic C++/Qt6 desktop app to a cloud-native microservices platform with WebGL rendering, Kubernetes-based simulation workers, a plugin marketplace, REST/WebSocket/GraphQL APIs, and multi-tenant SSO — all by Month 36 with a team of 7. This is not a roadmap; it is a wish list. Each of those transitions is a 6-12 month engineering project independently.

Data Dependency

HIGH

The platform's quality is bounded by DEM resolution and live data feed quality. 30m SRTM elevation data (what FloodSim uses today) is inadequate for urban flood modelling — cities need 1m LiDAR. Acquiring, licensing, or partnering for high-resolution terrain data in every target geography is a significant cost and operational challenge not costed in the financial model.

Sales Motion Mismatch

CRITICAL

The company currently has no enterprise sales capability. Building a product and building a government sales motion are separate competencies. The document assumes \$300K pre-seed covers a team of 3 who will simultaneously build the product, close government pilots, and launch on the Microsoft Store. Government pilots require dedicated relationship management, procurement navigation, and legal/compliance support.

Regulatory & Liability Risk

MEDIUM

If a city uses Nerolith's flood simulation to make an evacuation decision and the simulation is wrong, Nerolith faces potential liability. The document does not address this at all. Government procurement departments will raise it in every sales conversation. Professional indemnity insurance for simulation outputs at national scale is non-trivial and expensive.

Scaling Infrastructure

MEDIUM

Physics-based flood simulation at national scale is computationally intensive. The document acknowledges 'bursty' compute loads but does not model the cost of running a country-scale simulation (potentially terabytes of DEM data, hours of compute time). The \$25K/month infrastructure target for Phase 3 looks optimistic for the described workloads.

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TOP 5 REASONS THIS WILL FAIL

1. The founding team is not described — and that is disqualifying.

The entire document contains zero information about who is building this. No founder backgrounds, no domain expertise signal, no prior startup experience mentioned. For a company targeting government procurement in a technically complex domain, team is the only thing that matters at pre-seed. A great idea with the wrong team — or an unknown team — gets no term sheet.

2. The Microsoft Store consumer strategy is incompatible with the enterprise sales strategy.

You cannot simultaneously optimise for a \$49/month prosumer product on the Microsoft Store AND pursue 6-18 month government procurement cycles. These are different GTM motions, different pricing signals, different support models, and different brand positionings. Trying to do both in Year 1-2 with a 3-person team will result in doing neither well.

3. The \$300K pre-seed is structurally insufficient for the stated goals.

Phase 1 (Months 1-8) requires: MSIX packaging + Store release, settings/subscription infrastructure, PDF export, time-step simulation, evacuation routing, 500 active users, 50 paying customers, AND 3 government pilots signed. At a burn rate of \$25K/month for a team of 3 (conservative in any market), \$300K covers 12 months of salaries alone. Infrastructure, legal, compliance, and sales costs are unaccounted for.

4. Free and open-source alternatives neutralise the entry-level market.

The QGIS plugin strategy (mentioned as developer acquisition) is actually a trap. QGIS users are academics, NGOs, and public-sector teams with zero discretionary budget. They will use a free Nerolith tier and never convert. Meanwhile, Deltares' Delft3D, FEMA's Hazus, and InaSAFE provide free, peer-reviewed flood simulation to exactly the organisations Nerolith is targeting. The document does not seriously engage with this.

5. The platform vision requires developer ecosystem density that cannot be forced.

The plugin marketplace, 200+ third-party simulation modules, and data network effects described in Phase 5 are the right long-term vision. But they require 10,000+ active developers and API customers as a foundation. Palantir spent 15 years and \$1B+ in losses building its government data platform. The document assumes Nerolith achieves equivalent ecosystem density by Year 10 with a Series B of \$60M. There is no honest analysis of why developers would build on Nerolith's plugin API rather than extending ESRI's, which already has the installed base.

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IF IT CAN WORK — CONDITIONS

This idea CAN work, under these precise conditions:

Condition 1: One vertical, one geography, one customer type — for 24 months.

Stop trying to be a platform. Pick flood simulation, pick one country (UK, Netherlands, or India — all have mandated flood risk requirements and accessible procurement channels), and become the default tool for civil engineering consultancies in that market. Get 20 firms using it daily. Build from that reference base.

Condition 2: Abandon the Microsoft Store consumer strategy entirely.

The \$49/month tier will attract researchers who never convert. Price at \$500/month minimum, position as professional-grade infrastructure, and sell to firms with billable project budgets. The tool is worth it.

Condition 3: Get a peer-reviewed publication and a named reference customer before raising Seed.

In government and insurance procurement, third-party validation is the procurement unlock. A paper in Natural Hazards & Earth System Sciences validating FloodSim's accuracy against observed flood events, and one named civil protection agency saying they use it, is worth more than any pitch deck. This is achievable and should be Priority 1.

Condition 4: Hire a domain expert co-founder before spending a dollar on engineering.

A hydrologist, emergency management professional, or ex-DHI/ESRI domain expert as co-founder transforms the company's ability to navigate procurement, validate model accuracy, and generate reference customers. This is the single highest-ROI hire available.

Condition 5: Model the LiDAR data access problem honestly.

If the simulation quality depends on 1m resolution DEM data, build that data acquisition strategy into the business model. Partner with national mapping agencies (OS in the UK, IGN in France, SOI in India) who have the data and want distribution partners. The data layer is not a solved problem — it is a strategic asset that requires active building.

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UPGRADE PATH — NICHE TO SCALE

The Palantir Parallel (and why it is instructive, not flattering)

The document's trajectory — deep government vertical expertise → platform API → developer ecosystem → national-scale contracts — is structurally identical to Palantir's. This is not accidental; it is the correct playbook for B2G (business-to-government) data infrastructure. The problem is that Palantir had ex-CIA/NSA founders with existing government relationships, \$100M+ in early funding, and 10 years of losses before profitability. Nerolith's version of this journey needs to be funded and executed with that reality in mind.

Stage

Focus

Revenue Model

Comparable

Y1-2: Niche Tool	Flood simulation for civil engineering	Direct sales	\$500K/mon	Early Mapbox — developer-first niche
Y2-4: Vertical Deep	Multi-disaster + government procurement	Gov contracts	\$50K-200K/yr	Primarily government contracts via consulting firms
Y4-6: Platform AP	Open API to insurance, infrastructure	AR ready	\$50K, by year	Scripts API expansion from payments to financial infrastructure
Y6-10: Data Network	Proprietary simulation dataset as a service	Subscription product	Multiple	Highly leveraged physical risk

The one thing the document gets exactly right:

'We do not compete with ESRI. We make ESRI more powerful.' This is the correct framing and the correct GTM wedge. An ESRI ArcGIS plugin that adds simulation capability, distributed through ESRI's own marketplace, with ESRI's 7M users as the funnel, is the fastest path to distribution. Build this as the first product, not as Phase 3. It changes the entire growth trajectory.

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FINAL VERDICT

PIVOT — DO NOT FUND AS PRESENTED

Confidence Level: 62% | Stage: Pre-Seed | Category: B2G GeoAI

"Strong technical foundation, wrong go-to-market, underfunded, team unknown."

The case FOR investing (what a contrarian sees):

- The core technology is real and working — this is not vaporware. A functioning C++/Qt6 application with a custom ML flood engine, OpenGL 3D renderer, and LLM integration is 18-24 months ahead of a whitepaper competitor.
- The problem is structurally growing — climate disclosure mandates, insurance regulation, and infrastructure investment cycles all create durable, non-cyclical demand.
- The architecture (swappable DLL simulation engine, decoupled 2D/3D views) genuinely scales to the multi-disaster vision. This is not accidental good design; it reflects platform thinking from day one.
- The ESRI distribution channel insight is sharp. If the ESRI ArcGIS plugin ships first and gains traction, the fundraising story transforms entirely.

The case AGAINST (what kills the deal):

- No team information. Cannot fund an anonymous founding team.
- GTM strategy is incoherent — consumer app store launch + government enterprise procurement simultaneously.
- \$300K pre-seed for the stated Phase 1 deliverables is impossible. Timeline is disconnected from capital constraints.
- Free open-source alternatives (Delft3D, Hazus, InaSAFE) are not seriously addressed in the competitive analysis.
- No validation data. No quoted accuracy figures, no comparison against observed flood events, no external endorsement.

What would change the verdict to 'Fund':

- Named founding team with domain credibility (hydrology, GIS, or government procurement background).
- One named government or consultancy reference customer using the product for real work.
- A peer-reviewed validation paper in progress or submitted.

- Revised GTM: ESRI plugin first, consultancy channel, one-geography focus.
- Realistic \$1.5M-\$2M pre-seed ask with 18-month runway to Seed-fundable metrics.

The bones of a fundable company exist inside this document. The flesh — team, traction, focused GTM, realistic capitalisation — is entirely absent. Come back with a co-founder who has signed a government pilot, a validation paper in submission, and a revised ask. That company is fundable. This one is not.
